

# PSU Stocks Under Pressure

## What Is Happening and Where Things Go From Here

*April 28, 2026*

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PSU stocks are under significant pressure today. The banks, oil companies, and infrastructure names are all falling together. This is not random. Seven distinct forces have converged at the same time, and this note breaks down each one clearly.

### The RBI's ECL Decision

On Monday, the RBI rejected all requests from banks to delay the Expected Credit Loss framework, locking in an April 2027 implementation date. Under ECL, banks must set aside capital for future potential losses, not just current ones. For large PSU lenders like SBI, Bank of Baroda, and Canara Bank, this means significantly more capital parked as a buffer capital that cannot be paid out as dividends. Analysts have already started cutting dividend estimates, and falling dividend expectations directly lower the stock price. This is rational repricing, not panic.

### The Forex Cap Nobody Talked About

Effective today, the RBI has capped banks' Net Open Position in foreign currency at \$100 million. Previously, PSU banks were running far larger dollar-rupee positions that were generating very healthy trading income. They are now being forced to unwind those positions immediately. Forced selling at scale hurts trading income and creates fear in the market. This is the hidden story behind today's fall most retail commentary has not picked this up yet.

### Bond Yields and Paper Losses

The India 10-year bond yield rose to 6.97% today. PSU banks hold enormous government bond portfolios. When yields rise, bond prices fall, and a portion of those holdings must be marked to

current market value. The resulting MTM loss runs into thousands of crores on a single day's move. These are accounting adjustments, not cash losses, but they hit quarterly results and capital ratios adding one more weight on top of an already difficult day.

## **Oil at \$110 and the OMC Problem**

Brent crude is trading close to \$110 today with Strait of Hormuz tensions unresolved. For HPCL, BPCL, and Indian Oil, this is a direct margin problem. These companies sell fuel at government-influenced prices. When crude spikes, they absorb the difference. Higher oil also keeps inflation elevated, which keeps the RBI hawkish, which keeps bond yields high looping straight back into the MTM problem for PSU banks.

## **FII Selling and MSCI Mechanics**

Foreign institutional investors have sold over Rs. 43,900 crore worth of Indian equities in April 2026. The destination appears to be South Korea and Taiwan, where MSCI weights have been rising. When large global funds exit India quickly, they sell the most liquid names first. PSU stocks SBI, NTPC, BHEL, NMDC fit that description perfectly. This is not a judgment on PSU fundamentals. It is simply how portfolio rebalancing works at scale.

## **IDBI Privatisation Losing Steam**

The government's struggles to find buyers for IDBI Bank at its desired valuation are now well known. This matters beyond IDBI itself. A stalled flagship privatisation removes the broader reform premium that was supporting names like BHEL and NMDC. Investors had priced in a version of India's PSU sector that was actively being handed over to private management. That narrative is fading, and valuations are adjusting.

## **IPO Liquidity Drain**

Large IPOs require upfront application money. Retail investors and HNIs often fund this by selling profitable existing positions. After two strong years, PSU stocks sitting on 40-60% gains are the

obvious choice. This is a temporary and mechanical factor, but it arrives today on top of everything else.

## Summary

| Factor                     | Who Gets Hit           | Immediate Impact                        |
|----------------------------|------------------------|-----------------------------------------|
| RBI ECL Framework          | SBI, BoB, Canara, PNB  | Lower dividends, capital erosion        |
| Forex NOP Cap (\$100M)     | All PSU Banks          | Forced trade unwind, trading income hit |
| Bond Yields at 6.97%       | Entire PSU Bank Index  | MTM losses on bond portfolios           |
| Crude Oil at ~\$110        | HPCL, BPCL, Indian Oil | Margin squeeze, inflation pressure      |
| FII Selling (Rs.43,900 Cr) | All Large-Cap PSUs     | Liquid PSUs sold first on exit          |
| IDBI Privatisation Stall   | BHEL, NMDC, others     | Reform premium removed                  |
| IPO Liquidity Drain        | Profitable PSU holders | Pre-IPO selling pressure                |

## Where Things Stand

Some things here are temporary. Some things have genuinely changed. The key is knowing which is which.

### Near Term (2 to 4 Weeks)

The ECL repricing and forex cap unwind will take more than one session to work through. FII outflows show no clear reversal catalyst today. Oil remains the live variable any escalation pushes OMC stocks further down; any resolution brings a quick bounce in that pocket.

### Medium Term (3 to 6 Months)

Non-bank PSUs NTPC, HAL, BHEL, IRFC are being sold as collateral damage today, not because their fundamentals changed. For investors with a 2-3 year view, these corrections have historically been accumulation opportunities. PSU banks are a more complicated story the ECL transition will weigh on them through at least the first half of 2027.

## Longer Term

The structural thesis India's public sector being better managed and funded through a decade of capex is intact. Today is a multi-factor correction inside a longer story. The risk worth monitoring is whether elevated oil forces the government to widen its fiscal deficit meaningfully, which would put the capex pipeline under pressure. We are not there yet.

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*This note is for internal discussion purposes only. April 28, 2026.*